

accompany you? Who else do you know that boats? What other time demands do you have? Think about these and other questions, and you can determine (a) if you can afford a boat and (b) if it's worth it to you.

Boating has the upside of creating memories that last a lifetime with friends and family. Being out on the water enjoying a beautiful summer day is hard to beat—but only if you can afford what you purchased.

We can run through the same exercise for just about any expenditure, from that latte to a vacation home. Just saying no is lazy and misses the point of money as a tool. Let me suggest better advice than *never ever buy a boat*: Don't buy things you cannot afford, won't actually use, and that will cause you more pain than pleasure.

I'm a boater, and I have many friends who are boaters. One bought a 14-foot kayak and is out each morning weather permitting for a robust paddle. His blood pressure is down, his outlook is sunny, and he enjoys the solitude on the water. Another friend bought a 55-foot behemoth. It's a floating hotel that he hardly ever used—and sold it at a big loss after two years.

My advice for people considering buying a boat is to recognize four key issues: costs, skill, experiences, and psychology. For any wannabe boater or anyone making a major purchase, you need to:

- Understand what you are getting into.
- Consider all of the costs of ownership.
- Only buy what you can afford.
- Make an intelligent decision about using your limited time and money.

The formula is simple: Spend less than you make. Make intelligent decisions. Don't pretend to be something you are not by spending more than your income justifies. You do not need a business degree from Wharton to figure this out.